Name of the machine	operation	Total time taken for 100 gears		Rate per hour	Total (₹)
		In minutes	In hours		
Lathe	24 minutes are required for turning both sides of the casting gear block (for 1 gear)	2400	40	150	6000
Slotting machine	24 minutes are required for slotting (for 1 gear)	2400	40	200	8000
Milling machine	48 minutes are required for milling (for 1 gear)	4800	80	250	20000
	Total machining charges		160		34000

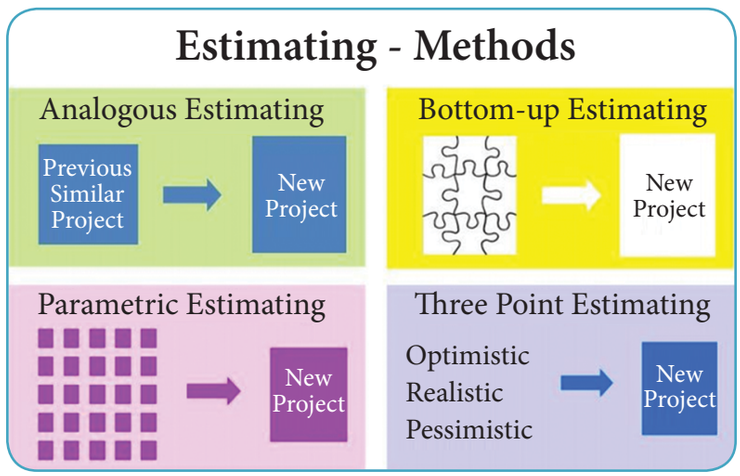
Find the total cost of estimation and the cost of estimation and the cost of single gear, if the cost of the casting material is ₹55 per kg and the weight of a gear is 1kg.

Cost of raw material

(As the gears are to be cast, the cast material should be ordered.)

Weight of a single gear = 1kg
Weight of a 100 gear = 100kg

DO YOU KNOW?



The goal of each *cost estimation method* is to estimate fixed and variable costs and to describe this estimate in the form of Y = f + vX. That is, Total mixed cost = Total fixed cost + (Unit variable cost × Number of units).

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